

ORION FOODS

Capital Structure Recommendation | Corporate Finance Case Analysis

RECOMMENDATION OPTION B • €1.0bn debt • 50% of total capital

Executive Summary

This analysis recommends Option B. It produces an annual interest tax shield of €15 million while maintaining interest coverage of 3.50× in the modeled recession, above the board's 2.0× warning threshold. Its 50% debt-to-capital ratio is also within the peer range of 38%–55%.

Option A preserves the greatest financial flexibility but appears overly conservative given Orion's stable cash flows, tangible assets and free-cash-flow agency concerns. Option C maximizes the tax shield but reduces recession coverage to 1.56× and creates greater distress, debt-overhang and risk-shifting concerns. The case does not provide probabilities or expected distress costs, so Option B is a well-supported recommendation rather than a mathematically exact optimum.

1. Company Context and Decision

Orion Foods is a publicly listed European producer of packaged food. Demand has historically been stable, although sales and margins decline in economic downturns. The company owns most manufacturing facilities and distribution centers, giving it a substantial tangible-asset base. In its latest financial year, Orion generated €2.5 billion in revenue and €300 million in EBIT.

Orion currently has €500 million of debt at an average 5% interest rate, implying €25 million of annual interest expense. Its market-value equity is €1.5 billion, so debt / total capital is 25%. The corporate tax rate is 25%, and the case states that taxable income should be sufficient to use interest deductions fully.

Case fact	Value / description
Existing debt / market-value equity	€500m / €1.5bn
Current interest rate / expense	5.0% / €25m annually
Corporate tax rate	25%; deductions expected to be fully usable
EBIT — strong / normal / recession	€360m / €300m / €210m
Board's recession warning threshold	Interest coverage below 2.0×
Possible investment in ~2 years	€200m facility; expected NPV +€30m; not approved

Any debt raised above the existing €500 million is used to repurchase shares. Accordingly, the options change the financing mix but not operating assets or EBIT.

2. Quantitative Analysis

Annual interest tax shield = interest expense × corporate tax rate. Interest coverage = EBIT / annual interest expense. All dollar amounts below are in millions of euros.

Measure	Option A	Option B	Option C
Total debt	€500m	€1,000m	€1,500m
Debt / total capital	25%	50%	75%
Average interest rate	5.0%	6.0%	9.0%
Annual interest expense	€25m	€60m	€135m
Annual interest tax shield	€6.25m	€15.00m	€33.75m
Coverage — strong year	14.40×	6.00×	2.67×
Coverage — normal year	12.00×	5.00×	2.22×
Coverage — recession	8.40×	3.50×	1.56×

The annual tax shield rises by €8.75 million from A to B and by a further €18.75 million from B to C. These figures are tax savings, not total net value creation. The cost of borrowing, expected distress costs, reduced flexibility and incentive effects also matter.

Key risk result: Option C's recession coverage of 1.56× is below the board's 2.0× threshold. Option B's 3.50× coverage remains above it. Option C's normal-year coverage is only 2.22×, leaving a limited cushion if performance deteriorates beyond the modeled case.

3. Debt Capacity and Peer Evidence

Capacity supported by the case: mature operations, historically stable demand, tangible assets, consistent profitability, fully usable tax deductions, no major debt maturity or committed acquisition in the next three years, and normal EBIT of €300 million.

Capacity constrained by the case: sales and margins fall in recessions while interest remains fixed; the board's stated coverage threshold; higher borrowing costs at greater leverage; and the need to retain capacity for unexpected shocks and possible investment.

Comparable company	Debt / total capital	Interest coverage
Alpha Foods	38%	7.2×
Bella Consumer	44%	6.1×
Continental Foods	51%	5.0×
Delta Brands	55%	4.4×
Peer average	47%	5.7×

Option B's 50% leverage is close to the 47% peer average; its normal-year coverage of 5.0× is within the 4.4×–7.2× peer range. This supports B as plausible, but peers are benchmarks rather than automatic targets. Orion's recession sensitivity and future investment needs remain company-specific.

4. Incentives, Investment and Financial Flexibility

Free-cash-flow discipline. Orion has retained substantial free cash flow and invested some of it in diversification projects earning below its normal operating return. Moderate debt service can reduce discretionary funds for low-return expansion and discipline management. Because the new debt proceeds are used for a share repurchase, the recapitalization distributes cash while committing the firm to future interest payments.

Debt overhang and underinvestment. The possible automated facility requires €200 million and has expected NPV of €30 million, but it remains unapproved. Excessive leverage today could make Orion unable or unwilling to fund a positive-NPV project later. If project value partly benefits existing creditors by making their claims safer, shareholders may be reluctant to contribute new equity. Option B preserves more capacity than C without raising money today for an uncertain project.

Risk shifting / asset substitution. Under high leverage, shareholders retain much of the upside of unusually risky projects while creditors bear part of the downside through increased default risk. This may cause shareholders to prefer more risk than creditors would. Option C intensifies this conflict; moderate leverage under B provides discipline without the same degree of distortion.

Theoretical framework. The trade-off theory is the primary lens: balance the interest tax shield against expected distress and other costs of debt. The corporate-tax benefit is consistent with the Modigliani-Miller tax-shield intuition, while the case's recession threshold and investment concerns show why the tax shield cannot be considered in isolation. Agency theory is also relevant: debt can mitigate free-cash-flow waste, but excessive debt can cause underinvestment and risk shifting.

Financial flexibility. Option A offers the greatest capacity to borrow later and absorb shocks; C offers the least; B is intermediate. Maximum flexibility is not inherently optimal because it may forgo tax benefits and leave too much discretionary cash. The possible plant supports retaining headroom, but its uncertain status does not justify raising €200 million now.

5. Comparison of Alternatives

Criterion	Option A	Option B	Option C
Main benefit	Lowest risk; maximum headroom	Balanced tax shield, discipline and resilience	Largest tax shield
Main cost / risk	Limited tax benefit; weaker cash discipline	Higher obligations and less flexibility than A	1.56× recession coverage; distress and incentive risk
Tax benefit	Low: €6.25m	Medium: €15.00m	High: €33.75m
Financial flexibility	High	Medium	Low
Investment incentives	Low-return spending may continue	Discipline without extreme leverage	Greater debt-overhang and risk-shifting concerns

6. Recommendation to the CFO and Board

Orion should adopt Option B. It captures a meaningful interest tax shield and can impose discipline on free cash flow while keeping recession interest coverage above the board's stated threshold. Its leverage is close to the peer average, and the modeled recession coverage of 3.50× provides a more credible cushion than Option C.

Option A is safer, but its 25% leverage is below the peer range and may leave the company with excess discretionary cash while foregoing tax benefits. Option C should be rejected: the additional shield over B is €18.75 million per year, but recession coverage falls below 2.0×, financial flexibility is sharply reduced, and the risks of debt overhang and risk shifting increase.

Implementation should be conditional on continued monitoring of recession coverage, cash-flow forecasts and the status of the €200 million plant. If the facility is approved or operating conditions worsen, the board should reassess the capital structure before committing to further borrowing. The case does not provide enough information to estimate a probability-weighted expected distress cost or solve for a precise optimal leverage ratio.

Conclusion

A moderate increase in leverage is justified, but maximum leverage is not. Option B best balances tax benefits, financial resilience, flexibility and managerial incentives on the facts provided.

Core recommendation: Option B — €1.0bn debt; 50% debt / total capital; €15m annual tax shield; 3.50× recession interest coverage.